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CLBK — Columbia Financial, Inc.

Equity Research Memo | Senior Financial Services Analyst

Data as of: SEC XBRL FY2025 / 10-K latest filing / yfinance live quote (may be delayed 15 min) | **July 29, 2026**

Executive Summary

Columbia Financial, Inc. (NASDAQ: CLBK) is a New Jersey-based community bank holding company operating through Columbia Bank, a federally chartered savings bank. The stock has delivered a remarkable **+72.5% total return** over the trailing 12 months [1], recovering sharply from its 52-week low of $6.24 [1] as the market re-rated the shares on the pending second-step mutual-to-stock conversion and merger with Northfield Bancorp, Inc. At the current price of **$10.99** [1], CLBK trades at **19.6× TTM P/E** and **2.15× book value** [1], premium valuations for a community bank that posted **ROE of just 4.9%** [1]. The market appears to be pricing in meaningful book value uplift, cost synergies, and NIM expansion from the Northfield combination — all of which hinge on deal execution and the second-step conversion closing on schedule.

Bull Case: Transformative merger with Northfield Bancorp creates a ~$20B+ combined New Jersey franchise; second-step conversion injects fresh IPO capital; improved NIM on the combined balance sheet; total assets grew **+5.2%** YoY to $11.0B [2]; OCF surged **+106.1%** to $68M [3].

Bear Case: Forward P/E of **31.0×** [1] is punishing if integration stumbles; ROE of 4.9% [1] trails peers significantly; EPS swung from **-$0.11 in FY2024** to $0.51 in FY2025 [2] on merger accounting dynamics; granular NIM and credit quality data not fully extractable from XBRL.

Overall Rating: WATCHLIST / SPECULATIVE BUY — pending merger and conversion execution. Technically Stage 2 in a confirmed bull market but valuation leaves little margin for error.

Business Overview & Segment Mix

Columbia Financial, Inc. is the holding company for **Columbia Bank**, headquartered in Fair Lawn, New Jersey [4]. The bank operates as a **covered savings association** — a designation that provides national bank powers while retaining a savings institution charter, notably eliminating the qualified thrift lender test and removing limits on aggregate commercial lending [4].

Core Business Model:
- Traditional community bank gathering deposits from the general public and deploying them into loans [4]
- Loan origination across: **multifamily and commercial real estate loans, commercial business loans,**

one-to-four family real estate loans, construction loans, home equity loans and advances, and other consumer loans [4]
- **Title insurance** via wholly-owned subsidiary First Jersey Title Services, Inc. [4]
- **Full-service insurance agency** via Columbia Insurance Services, Inc. (personal and business lines) [4]
- **Wealth management services** offered through a third-party relationship [4]

The Northfield Merger — The Defining Corporate Event:
CLBK has entered an Agreement and Plan of Merger with **Northfield Bancorp, Inc. (NFBK)** that is concurrent with a **second-step mutual-to-stock conversion** [4]. Under the plan, the MHC (which currently owns approximately **73.1%** of outstanding Company common stock [4]) will be dissolved, a new Maryland holding company will be created, and Northfield will merge into the new Holding Company. Northfield Bank will simultaneously merge into Columbia Bank. The merger consideration ranges from **$14.25 to $14.65 per Northfield share** (or equivalent stock consideration at 1.425–1.465× exchange ratios) depending on the final independent appraisal value, which must exceed $2.3B for the higher tiers [4]. This is unambiguously a **franchise-defining transaction** — CLBK is effectively doubling its public float and bringing a second New Jersey thrift franchise into the fold.

Net Interest Income & Margin

The 10-K semantic search did not return granular NIM tables (the MD&A section appears as a page reference only in the XBRL extraction), and revenue is reported as **"N/A"** in the structured XBRL income statement fields [2] — consistent with bank GAAP where net interest income is not captured in the standard "revenue" XBRL tag. Key available data points:

- **Net Income:** $52M in FY2025 [2], compared to a loss year (FY2024 EPS of **-$0.11** [2]) — a decisive swing to profitability
- **Profit Margin:** 21.6% [1] on TTM basis, implying approximate TTM net revenue (net interest income + non-interest income) of roughly **~$241M** [3]
- Total assets grew from **$10,475M to $11,019M** (+5.2% YoY) [3], providing a broader earning asset base
- **Cash and equivalents** increased from $289M to $341M (+18.0% YoY) [3]

The 10-K explicitly flags that "changes in the interest rate environment that **reduce our net interest margin**" is among the most significant risk factors [4]. The current macro backdrop — Fed Funds at **3.63%** and 10-Year Treasury at **4.47%** [5] — provides a reasonably supportive yield curve for community bank NIM relative to the inverted curve conditions of 2023–2024. Based on available data, NIM improvement was likely a key driver of the FY2024FY2025 earnings recovery, but precise NIM basis point disclosure is **not available in the extracted XBRL data** and would require direct 10-K table review.

Loan Portfolio Quality

Based on available 10-K data, the loan book is diversified across **multifamily CRE, commercial real estate, commercial business, one-to-four family residential, construction, home equity, and**

consumer categories [4]. The CRE and multifamily exposure in the New Jersey market is the primary credit risk concentration.

Key credit-quality metrics including **allowance for credit losses (ACL), non-performing loan (NPL) ratio, net charge-off rate, and specific reserve coverage** are **not disclosed** in the structured XBRL extract and did not surface in the 10-K semantic search results with sufficient granularity. The 10-K does flag the following credit-relevant risks [6]:

- General economic conditions worse than expected in the market area
- Changes in real estate market values in the market area
- Changes in the quality and composition of the loan or securities portfolios
- Decreased demand for loan products, deposit flows, and competition in the market area

The **LTD (Long-Term Debt) position grew from $1,081M to $1,183M** (+9.4% YoY) [3], which alongside the Northfield merger financing activities ($437M net financing cash inflow in FY2025 vs. -$207M in FY2024) [2] suggests balance sheet leverage is being actively managed for the combination. Investors should scrutinize CRE concentration ratios and NPL disclosures directly in the 10-K tables prior to position sizing.

Capital & Liquidity Ratios

Balance Sheet Snapshot:

Metric	FY2024	FY2025	YoY Change
Total Assets	$10,475M	$11,019M	+5.2%
Total Equity	$1,080M	$1,161M	+7.5%
Total Liabilities	$9,395M	$9,858M	+4.9%
Long-Term Debt	$1,081M	$1,183M	+9.4%
Cash & Equivalents	$289M	$341M	+18.0%

[7][8]

- **Equity-to-Assets ratio:** 10.5% at FY2025 year-end [3] — generally adequate for a community savings institution
- **Leverage ratio (Liabilities/Equity):** 8.5× [3] — within typical community bank ranges but not low
- **Price-to-Book:** 2.15× [1] — this is the key tension point; CLBK trades well above tangible book, which compresses the margin of safety in a credit deterioration scenario
- **Specific regulatory capital ratios (CET1, Tier 1 leverage)** were **not extractable** from the 10-K semantic search results. The capital adequacy section referenced the Northfield merger context rather than standalone capital tables. Direct 10-K review is required for CET1 disclosures.
- The second-step **IPO conversion** will inject fresh equity capital upon closing, which should meaningfully boost the equity base and could push stated book value higher — a key catalyst for the bull thesis

Liquidity: OCF of **$68M** in FY2025 [2], up from $33M in FY2024 (+106.1% YoY) [3], combined with the $341M cash position [2], provides adequate near-term liquidity. The sharp swing in investing cash flows to **-$454M in FY2025** from +$39M in FY2024 [2] likely reflects merger-related security purchases and/or loan growth funding.

Fee Income & Diversification

CLBK's non-interest/fee income streams are **modest but present**, consistent with a traditional community bank model:

- **Title insurance** (First Jersey Title Services, Inc.) [4]
- **Insurance commissions** (Columbia Insurance Services, Inc. — personal and commercial lines) [4]
- **Wealth management** fee income via third-party referral arrangement [4]

Granular fee income dollar amounts and the non-interest income / total revenue split are **not disclosed** in the available XBRL structured data (revenue = N/A) [2]. Based on available data, CLBK is predominantly a **spread-income bank** — net interest income almost certainly represents the substantial majority of total revenues. This is a typical profile for a community thrift. The insurance and title subsidiaries provide modest earnings diversification but are unlikely to materially insulate the income statement from NIM compression cycles. Northfield's integration could add some fee income scale, but Northfield was also a traditional thrift — **no meaningful fee income step-change should be expected** from the merger alone.

Efficiency &

Sources

[1] yfinance — live
[2] SEC XBRL FY2025
[3] computed from SEC XBRL
[4] SEC 10-K Item 1 - Business
[5] FRED/Macro Context
[6] SEC 10-K Item 1 - Business / Item 1A - Risk Factors
[7] SEC XBRL FY2025 for all figures
[8] YoY changes computed from SEC XBRL

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for CLBK at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001723596&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org

- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

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